

Research Briefing | Italy

What a Draghi-led government means

Economist

Nicola Nobile

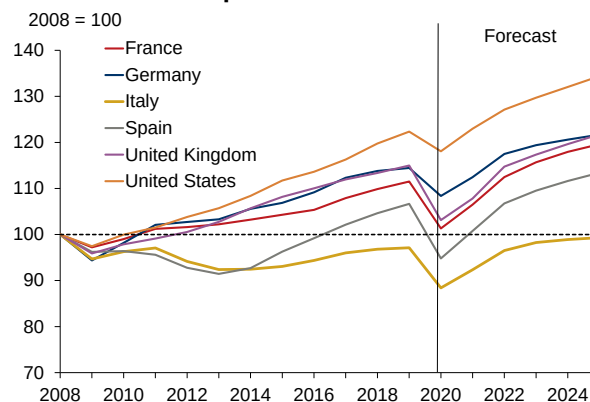
Chief Italian Economist

+39 02 8295 2518

- President Mattarella has asked Mario Draghi to form a government of national unity. It's not yet clear if this type of government would have majority-backing in the parliament and if the Five Star or League parties will support it. But considering the only feasible alternative is to hold new elections – which several parties have strong incentives to avoid, given their numbers in the current parliament – we think it likely that a Draghi government will be installed.
- As Prime Minister, the former ECB President will face three big problems: battling the pandemic, presenting a credible plan to the EU for the Recovery Fund, and dealing with Italy's entrenched structural problems.
- We doubt that Draghi's approach to managing the pandemic will differ substantially – his real advantage is his relationship with EU peers. On this front, Italy has not yet finalized its plans for executing the EU recovery fund, but a Draghi-led government could make headway with a stronger plan. What's more, he could pave the way for other reforms that would help Italy to escape from the stagnation that has stalked the economy for years.
- But we doubt a Draghi government could endure beyond the crisis period. In fact, a very plausible scenario is that, after vaccinations are completed and the economy starts to recover, parties withdraw their support and ask for new elections. These would most likely be held next spring, after the appointment of Italy's new President.

Figure 1: Italian GDP is lagging other major European economies

Gross domestic product



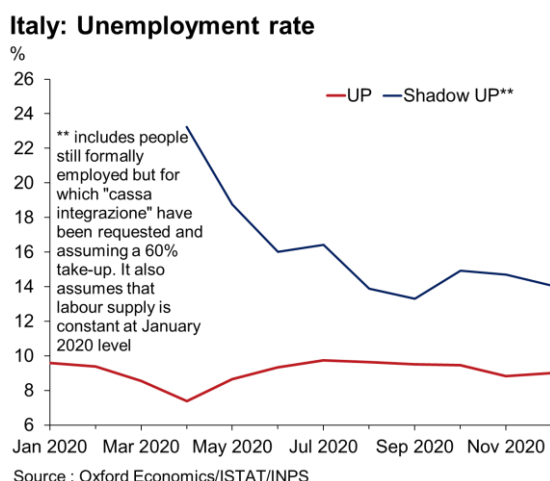
The 2015-2019 recovery was not strong enough to bring Italian output back to pre-GFC levels. And since the onset of the pandemic, the condition of the economy has worsened significantly. While the coronavirus crisis is having a massive impact across the eurozone, the setback means that Italian GDP in 2021 will still be well below that of 2008.

A technocrat government for Italy?

President Mattarella has asked Mario Draghi to form a government of national unity. It's not yet a done deal, as it depends on a lot of political negotiations – in particular if the Five Star Movements will vote for a government of this kind. Over the next few days we should find out if a Draghi administration can gain a parliamentary majority, but it's useful at this point to assess what this type of government could do over the likely time-horizon of its mandate, likely to be around one year.

Over the last fifteen years Italy has endured three strong recessions: the global financial crisis one, the eurozone debt crisis, and the coronavirus pandemic. But since the GFC, the recovery has not been strong enough to bring Italian output back to pre-GFC levels (**Figure 1**) and we expect Italian GDP in 2021 to be 8% lower than that of 2008. What's more, while the labour market has been performing slightly better than expected, the 'true' unemployment rate (taking into account the numbers that have benefited from the short-term unemployment scheme, and adjusting for the unusual drop-in participation rate) has remained around 5ppts higher than the official rate (**Figure 2**). The official rate was just below 10% in December.

Figure 2: The shadow unemployment rate shows how the labour market has been affected by the crisis



The 'true' unemployment rate, taking into account the numbers that have benefited from the short-term unemployment scheme and adjusting for the unusual drop-in participation rate, remained around 5ppts higher than the official rate.

Three dilemmas for the current government

So the new government will need to tackle an imperilled economy facing three huge trials: the damage from pandemic in the short-term; the need to present a credible plan to the EU for executing the Recovery Fund (Next Generation EU, or NGEU); and the entrenched structural problems that have vexed Italy's economy for decades.

But no change in the very short-term

Should a Draghi administration be installed, we doubt it would change course significantly on managing the health crisis. Health is not an area of his expertise, and battling the pandemic depends on factors that are outside the direct control of the government, such as approval and the supply of vaccines that is being directed by the EU. In the short term, we also don't expect a government of national unity would drastically alter fiscal policy, which we expect to remain accommodative this year. Parliament recently approved additional measures amounting to €32bn (1.8% of GDP), which will push the deficit for the current year to around 9% of GDP. The measures include extending wage supplement schemes and healthcare expenditure.

Also in the short term, we don't envisage a Draghi government being able to substantially change the economic outlook. The publication of the flash GDP figures yesterday, showed that the economy [shrank](#) by 2% in Q4 – the worst among the largest eurozone economies. But although we expect Italian GDP to contract again in Q1, with GDP dropping by around 0.5ppts over the previous quarter, we think risks are now more to the upside, in particular if Covid-containment measures remain less strict than in

Contact: Nicola Nobile | nnobile@oxfordeconomics.com

January. Indeed, we now expect GDP to expand by around 4.5% this year, broadly in line with our previous forecast, with an acceleration of growth in Q2 and Q3, mainly linked to the acceleration in the vaccine [programme](#).

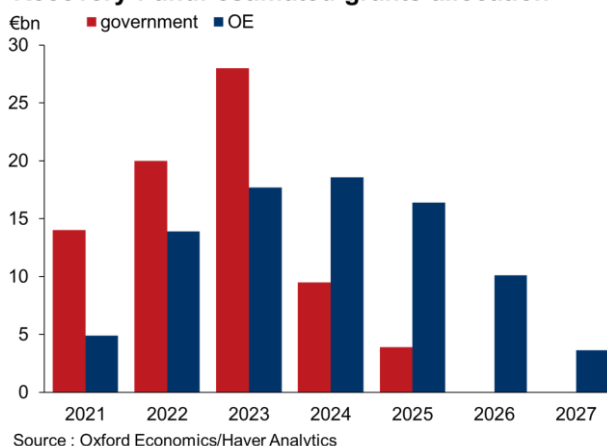
Potentially strong leadership on the Recovery Fund implementation

In our view, Draghi's real advantage stems from his relationship with his EU peers and in being well-qualified to draft Italy's recovery plan. In fact the trigger of this latest political crisis was the impasse over executing the EU recovery fund – Italy's plans have not yet been finalised – and a Draghi government could potentially break through the deadlock. Italy is expected to receive around €80bn in grants (5% of 2019 GDP) and around €120bn in loans from the EU fund.

Previously, we've [noted](#) that Italy has had persistent difficulties in spending European money and it lacks institutional preparedness, indicated by persistently poor public sector performance and institutional quality indicators. For these reasons, mainly, our current baseline assumes a much slower absorption of the funds than the government's projections, at least in the first few years ([Figure 3](#)).

Figure 3: Will Italy's grants be front-loaded or delayed?

Recovery Fund: estimated grants allocation



In Italy, the government foresees a large proportion of grants disbursed in 2021 and 2022. But we think a more realistic scenario would spread the resources over a longer period. We expect most of the macroeconomic effects of the NGEU to be seen later.

A Draghi government would clearly reassure the EU

This is where a Draghi-led government could make a real impact by **setting clear and credible goals for the plan and offering strong reassurances to the EU that this time the money will be used in a much more efficient way than in the past**. That's not to say a new Draghi government would be a quick fix for all the problems the public administration is facing – spending these funds in a quick and efficient way will still represent an enormous administrative challenge regardless of who's the prime minister.

In our previous work, we have estimated that the EU recovery funds will add around 1ppts to GDP over the medium-term. But this estimate only takes into account the boost from EU money and does not include the additional impact of structural reforms. In theory, these reforms might need to accompany the disbursements from the fund. If the benefits from other reforms, such as those to increase the female participation rate or increase the attractiveness of the Italian economy, are included, the impact would be larger.

If the new government sees the NGEU as a tool to raise potential growth and a kick-starter to help transform the economy, then Italy's chances of escaping its long period of economic stagnation will increase. In that sense, we would welcome a Draghi government that is able to push ahead with implementing some of the structural reforms that Italy so badly needs.

**Political realities
likely to resurface**

At some point, though, the reality of Italian politics will likely resurface, and so we don't expect a new administration would continue beyond the initial emergency period. In fact, it's not difficult to envisage a scenario in which – after vaccinations are rolled-out and the economy is firmly on a recovery path – the political parties withdraw their support and ask for new elections.

This would most likely happen next spring after the appointment of the new President. The history of other Italian technocrat governments (such as those led by Mr Ciampi and Mr Monti) shows that one year is the likely limit. While we can hope that a government led by Mario Draghi would last until the end of the legislature in 2023, we're not sure this time will be different.